Question #1 of 98

Question ID: 1675009

Asset owners who manage assets for an organization and compete for business would use the GIPS standards for:

A) investment management firms.

B) verifiers.

C) asset owners.

In October 2010, Alice Freeman, Georgeanne Pallence, and Mark Antonasanti formed FPA Investment Management (FPA). Freeman is highly regarded for her expertise in the area of security analysis, while Pallence and Antonasanti are well known for their exemplary management of fixed-income and equity portfolios, respectively.

In the initial period after its inception, FPA only accepted high-net-worth clients, requiring a minimum investment of $5 million. In early 2020, however, FPA made the decision to expand its client base by lowering its minimum investment requirement to $2 million. In the effort to attract new clients and improve the information it provided for its current clients, FPA presented performance results for an intermediate fixed-income composite, a broad equity composite, and a balanced composite. The following list describes some of the actions that FPA took when preparing its performance presentations.

Action Number	Description
1	All composites included only assets under management and were not linked with simulated or model portfolio performance.
2	Accrual accounting and book values were used to compute fixed-income returns.
3	Trading expenses were deducted before calculating returns.
4	Fee schedules were included in the presentations.
5	All actual fee-paying accounts were included in at least one of the three composites.
6	Asset-weighted composite returns were calculated using end-of-period weightings.

Question #2 - 3 of 98

Question ID: 1675096

Which of the following FPA actions is not in compliance with the Global Investment Performance Standards (GIPS)?

A) Action 1.

B) Action 2.

C) Action 3.

Question #3 - 3 of 98

Question ID: 1675097

Which of the following FPA actions is not in compliance with the Global Investment Performance Standards (GIPS)?

A) Action 6.

B) Action 4.

C) Action 5.

Question #4 of 98

Question ID: 1675006

Which of the following *best* describes the GIPS standards? The GIPS standards include recommendations which, when claiming GIPS compliance, are:

A) required.

B) optional.

C) required for larger firms with the resources to comply with them.

Question #5 of 98

Question ID: 1675036

Under GIPS, the presented gross-of-fees return must be calculated after the deduction of transactions costs, which can include:

A) advisory fees, but not custody fees.

B) both advisory and custody fees.

C) custody fees, but not advisory fees.

Question #6 of 98

Question ID: 1675032

Which of the following is an important requirement of the Global Investment Performance Standards (GIPS)?

A) Partial-year returns must be geometrically linked using a TWRR.

B) Partial-year returns cannot be annualized.

C) Partial-year returns must be annualized using an annualized percentage rate calculation.

Question #7 of 98

Question ID: 1675053

The investment management firm of Rakes, Finch, and Weeks (RFW) manages several fee-paying portfolios to a long-short strategy. RFW does not ever intend to market this strategy, so they do not include the performance of these portfolios in any of the firm's composites. Which of the following statements indicates what RFW must do if it intends to claim compliance with the Global Investment Performance Standards (GIPS)? RFW must:

A) exclude the portfolios from all of the firm's composites, but not discuss the long-short portfolios because they are nonmarketed.

B) include the long-short portfolios in at least one of the firm's composites.

C) exclude the portfolios from all of the firm's composites and disclose the fact that the long-short portfolios are not included in any of the firm's composites.

Question #8 of 98

Question ID: 1675082

Which of the following *best* describes the GIPS standards for the presentation of a composite's historical dispersion over time? The historical dispersion of the composite must be presented using the previous:

A) 3 years of data on an annualized basis.

B) 10 years of data on an annualized basis.

C) 5 years of data on an annualized basis.

Question #9 of 98

Question ID: 1675014

Which of the following lines of arguments have been put forth as an objective of the Global Investment Performance Standards (GIPS)?

A) Both enhancing competition in global markets and encouraging self-regulation in the global investment industry.

B) Encouraging self-regulation in the global investment industry.

C) Enhancing competition in global markets.

Question #10 of 98

Question ID: 1675064

Under GIPS, which of the following is not a valid reason for why a portfolio has been moved from one composite to another?

A) The firm changes a composite's minimum asset level at the end of the year-end due to prior year performance and removes the portfolio from the composite's historical record.

B) The firm has redefined the composite, and the portfolio no longer falls under the new definition.

C) The portfolio size has grown above £5 million and is more suitable to the "U.K. equities above £5 million" composite than the "U.K. equities below £5 million" composite.

Question #11 of 98

Question ID: 1675059

Which of the following statements *best* describes the appropriate construction of a firm's composites?

A) Strategies should avoid having too many qualifiers to prevent the manager from having a large number of small composites.

B) Strategies should be defined narrowly so that portfolios within the composites closely match each other.

C) The strategies should not overlap, so as to prevent portfolios falling under multiple composite descriptions.

Question #12 of 98

Question ID: 1675098

Which of the following is *least likely* a component of the valuation hierarchy of the GIPS standard?

A) Firms must document their portfolio valuation policies and hierarchy.

B) Firms' valuation processes should be composite specific or pooled fund specific.

C) Fair value should account for bond income on a cash basis.

Jessica Yee, a portfolio manager for the National Investing Alliance (NIA), wants to create a high-yield composite from several portfolios for marketing purposes. NIA's portfolios include high-yield bond portfolios, convertible debt portfolios, and large-cap equity growth portfolios. In the composite, she did not wish to include any historical results from terminated portfolios, nor did she feel it was important to include the cash associated with these portfolios (because the cash was managed by another department of NIA). Yee wants to be able to claim compliance under Global Investment Performance Standards (GIPS).

Question #13 - 15 of 98

Question ID: 1675067

Which of the following portfolios should be used to form the composite?

A) Only the high-yield bond portfolios and convertible debt portfolios.

B) Only the high-yield bond portfolios.

C) The high-yield bond portfolios, convertible debt portfolios, and large-cap equity growth portfolios.

Question #14 - 15 of 98

Question ID: 1675068

With respect to the treatment of terminated portfolios in the historical composite record, is her approach correct?

A) Yes; the investors in the terminated portfolios are likely no longer with NIA.

B) No; Yee should include the results of terminated portfolios through the date the portfolio was last managed.

C) Yes; terminated portfolios are allowed to be dropped from composites' historical record when the portfolio is no longer actively managed.

Question #15 - 15 of 98

Question ID: 1675069

Which of the following *best* describes the treatment of the cash portion in the overall portfolio results?

A) Because the cash component of the portfolio is managed by another department, it is not necessary to include it in the overall portfolio results.

B) The returns from the cash component of Yee's portfolio must be included in the overall portfolio results.

C) If a third party manages the cash component of the portfolio, it is not necessary to include the cash returns in the overall portfolio results.

Question #16 of 98

Question ID: 1675086

In January 2021, the Medusco investment firm (Medusco) started reporting its performance history in compliance with the Global Investment Performance Standards (GIPS). Medusco was formed on January 1, 2000, and has never before presented its performance results in compliance with the GIPS standards. Which of the following actions must Medusco take to claim GIPS compliance?

A) Wait until January 2022 to report its first year of performance results.

B) Present GIPS-compliant performance results for the 10-year period from January 1, 2011, through December 31, 2020.

C) Present GIPS-compliant performance results for the 5-year period from January 1, 2016, through December 31, 2020.

Question #17 of 98

Question ID: 1675023

Which of the following *best* describes the modified internal rate of return (MIRR) used in the GIPS standards for return calculations?

A) The MIRR typically provides higher IRRs than the modified Dietz method.

B) The MIRR uses a reinvestment rate that reflects a realistic interest rate assumption.

C) The MIRR is an IRR that adjusts for the timing of external cash flows.

Question #18 of 98

Question ID: 1675015

Which of the following statements *best* describes why the Global Investment Performance Standards (GIPS) were created? To meet the need for a(n):

A) single globally accepted standard for the determination and presentation of investment performance.

B) accepted standard for the determination and presentation of investment performance for developed securities markets where most security liquidity exists.

C) accepted standard for the determination and presentation of investment performance in emerging and frontier securities markets for which no guidelines currently exist.

Question #19 of 98

Question ID: 1675046

According to the GIPS Standards, limited distribution pooled funds that are also offered as segregated accounts:

A) must be in one composite only.

B) must be included in at least one composite.

C) cannot be in any composites.

Question #20 of 98

Question ID: 1675108

Which of the following *best* describes GIPS verification? GIPS verification:

A) can be issued for select composites.

B) must be performed on all composites to claim firmwide verification.

C) must be issued firmwide, but verifiers often use samples of the firm's products to do so.

Question #21 of 98

Question ID: 1675025

The Alexo Investment Management Group (Alexo) manages investments for 30 retail clients. Alexo has full discretion over the investments of these clients' assets. At the close of each day, the excess cash in the clients' portfolios is swept into a money market fund. Alexo does not manage the money market fund, so it does not include the cash portion of the portfolio in its total return performance calculations. Alexo discloses its treatment of cash and cash equivalents in its performance presentation.

Which of the following statements regarding Alexo's compliance with the Global Investment Performance Standards (GIPS) is correct? Alexo is:

A) not in compliance with the GIPS. The Standards require cash to be included in total returns calculations if the portfolio manager has control over the amount of the portfolio that is allocated to cash.

B) in compliance with the GIPS. The Standards do not require excess cash to be included in total return performance calculations unless the composite consists primarily of cash or cash equivalents.

C) in compliance with the GIPS. The Standards do not require cash or cash equivalents to be included in total return performance calculations unless the portfolio manager has control over the management of the cash or cash equivalents.

Question #22 of 98

Question ID: 1675048

Which of the following *best* describes the GIPS Standards? A client places material constraints on the sale of certain assets in her portfolio. According to the GIPS Standards, the manager:

A) may place the remainder of the portfolio in a composite or consider the entire portfolio discretionary if the restricted assets' value is below a certain portfolio percentage.

B) must only consider the entire portfolio discretionary if the restricted assets' value is below a certain portfolio percentage.

C) must only place the remainder of the portfolio in a composite.

Question #23 of 98

Question ID: 1675090

Investment Firm X acquires Firm Y on June 1, 2021. The performance documents for Firm Y are carefully examined and recorded during the summer of 2021, during which time Firm Y's managers take a temporary leave. Firm Y's managers begin work for their new firm on September 1, 2021, using their investment process from their old firm. According to the GIPS standards, Firm X *most likely* can:

A) link their performance with Firm Y's historical performance, but not represent Firm Y's historical performance as their own.

B) represent Firm Y's historical performance as their own but cannot link their performance with Firm Y's.

C) represent Firm Y's historical performance as their own and can link their performance with Firm Y's.

Question #24 of 98

Question ID: 1675016

All of the following are objectives of the Global Investment Performance Standards (GIPS) except:

A) enhancing investor confidence.

B) enhancing competition in global markets.

C) enhancing market efficiency.

Question #25 of 98

Question ID: 1675049

McGregor Investment Management (McGregor) promotes itself as a fixed-income investment management firm. The vast majority of the portfolios it manages are fixed-income portfolios. McGregor does, however, manage a few discretionary fee-paying portfolios, using a growth equity investment strategy, but the firm has no intention of ever promoting this strategy. Under the Global Investment Performance Standards (GIPS), must these portfolios be included in a composite?

A) No—the firm does not normally manage portfolios to a growth equity strategy and is not planning to promote it.

B) Yes—the portfolios are discretionary and fee paying.

C) Yes—the portfolios are managed to a widely recognized investment strategy.

Question #26 of 98

Question ID: 1675033

Under the Global Investment Performance Standards (GIPS), private market investment portfolio returns must be based on:

A) market values and valuation must occur at least monthly.

B) market values and valuation must occur at least quarterly.

C) cost basis and valuation must occur at least monthly.

Question #27 of 98

Question ID: 1675106

GIPS verification by a third party:

A) may give a GIPS-compliant firm a competitive advantage by making the claim to GIPS compliance more credible.

B) is required by the CFA Institute but not the SEC.

C) is required by the CFA Institute and the SEC.

Question #28 of 98

Question ID: 1675094

Which of the following *best* describes the GIPS standards? To comply with the GIPS standards, a firm's valuation process and methodologies should be determined based on:

A) industry standards for similar-sized investment firms.

B) firmwide practices as applied to all composites.

C) the composite or pooled fund.

Question #29 of 98

Question ID: 1675022

According to the GIPS standards, money-weighted returns may be used instead of time-weighted returns if the portfolio:

A) has a significant amount of liquid assets.

B) is open end.

C) is fixed life.

Question #30 of 98

Question ID: 1675054

Jessica French is an individual investment advisor with 200 clients and claims she conforms to the Global Investment Performance Standards (GIPS). French includes all of the clients on her books. One of those clients is her father, to whom she charges no fee. However, she manages that portfolio using the same processes as she uses for her paying clients. Another client included in the composite is John Randolph, a wealthy entrepreneur. Randolph is the only client who does not give her discretion over the assets and makes every decision himself, getting suggestions from French and using her to implement decisions. French:

A) conforms to the GIPS if disclosures are made about the non-fee-paying account.

B) has violated the GIPS because it includes Randolph's account, but not because it includes her father's account.

C) has violated the GIPS because it includes her father's account, but not because it includes Randolph's account.

Question #31 of 98

Question ID: 1675057

Teaton Investment Management (TIM) has recently developed a proprietary prediction model. To test the model, TIM created a returns history for an equity value portfolio using hypothetical assets and a backtested asset allocation strategy. TIM intends to include the simulated portfolio results in its performance presentation. Assuming that TIM is Global Investment Performance Standards (GIPS) compliant in all other areas, which of the following *most accurately* describes TIM's compliance with the GIPS? TIM is:

A) GIPS compliant if it includes the simulated portfolio in a composite that consists solely of simulated portfolios.

B) GIPS compliant, as long as it discloses the inclusion of simulated returns in its performance presentation.

C) not GIPS compliant because the Standards do not permit the inclusion of simulated portfolio results in performance presentations.

Question #32 of 98

Question ID: 1675089

According to the GIPS, which of the following statements regarding measures of internal composite dispersion is correct?

A) The high and low annual returns is an unacceptable measure due to its lack of information.

B) The equal-weighted standard deviation is an acceptable measure, but the asset-weighted standard deviation is not.

C) Internal dispersion is a measure of the range of returns for only portfolios in existence for the entire year.

Question #33 of 98

Question ID: 1675100

A firm is properly following the GIPS valuation hierarchy. If the valuation of the asset cannot be determined through objective and observable pricing for similar investments in active markets, which of the following should be the "next source" of a valuation estimate, in accordance with GIPS recommendations?

A) Subjective, unobservable inputs.

B) Market-based input other than quoted pricing that is observable for the asset.

C) Quoted pricing for similar and/or identical assets in markets that are not active.

Question #34 of 98

Question ID: 1675019

According to the GIPS standards, which of the following investment types is *least likely* required to be included in a composite?

A) The firm's fee-paying segregated accounts.

B) The firm's limited distribution pooled funds.

C) The firm's broad distribution pooled funds that are not offered in separate accounts.

Question #35 of 98

Question ID: 1675077

Whenever an investment management firm presents its investment performance as being in compliance with the Global Investment Performance Standards (GIPS), it must state how it defines itself as a firm. Under GIPS, a firm may define itself for the purpose of claiming GIPS compliance using any of the following options except:

A) when an office is organizationally separated from other offices and retains discretion over the assets it manages and has autonomy over the investment decision-making process.

B) when the subsidiary or division of a company claims GIPS compliance when the parent company is GIPS compliant.

C) when an investment firm, subsidiary, or division is held out to clients or potential clients as a distinct business unit.

Question #36 of 98

Question ID: 1675017

All of the following are reasons why the Global Investment Performance Standards (GIPS) were created except:

A) to enhance competition in global markets.

B) to enhance consistency in performance presentation for inter-country holdings.

C) to enhance the enforcement of global accounting standards.

Question #37 of 98

Question ID: 1675031

Which of the following is not a Global Investment Performance Standards (GIPS) input data requirement?

A) Portfolios must be valued on the date of all large external cash flows.

B) Portfolio valuations must be based on fair value (not cost basis or book values).

C) Firms must use settlement date accounting to calculate returns.

Question #38 of 98

Question ID: 1675085

Which of the following is *NOT* a Global Investment Performance Standards (GIPS) presentation and reporting requirement?

A) A measure of the dispersion of the portfolio returns within a composite.

B) The amount of firm assets.

C) Whether the number of portfolios in the firm's composites conforms to the GIPS minimum.

Question #39 of 98

Question ID: 1675093

Mesa Asset Management has claimed compliance with the Global Investment Performance Standards (GIPS) for several years and it is now January 14, 2021. This week, Mesa acquired another investment firm, Koven Asset Managers (KAM), that was not GIPS compliant. Going forward, Robert Flay, managing director for Mesa, wants to consolidate the reporting for KAM's and Mesa's assets. Flay asks two of his performance analysts, Giada Cora and Luigi Batali, for suggestions as to how Mesa can maintain ongoing compliance.

Cora: "To be GIPS compliant and consolidate the reporting for KAM's and Mesa's assets going forward, Mesa is required to bring KAM's assets into compliance for future reporting no later than the end of the quarter—March 31, 2021."

Batali: "In our reports, we include the ex post standard deviation of composite returns, which is required so that prospective clients can observe the fluctuation of composite returns over time."

After listening to their statements, Flay should:

A) agree with Cora, but disagree with Batali.

B) disagree with both Cora and Batali.

C) disagree with Cora, but agree with Batali.

Question #40 of 98

Question ID: 1675029

LNJ Asset Management manages publicly traded debt and equity portfolios and would like to claim compliance with the Global Investment Performance Standards (GIPS). Which of the following statements would render LNJ ineligible for this claim?

A) Portfolio valuations are performed using market values.

B) LNJ has only been in existence for four years.

C) LNJ portfolios are not revalued on the date of large cash flows.

Question #41 of 98

Question ID: 1675039

A firm reports returns on its pooled funds that are not in a composite. The firm has not complied with GIPS if:

A) assets are valued at least annually.

B) assets are valued at the time of subscriptions or redemptions.

C) periodic returns are arithmetically linked.

Question #42 of 98

Question ID: 1675061

Which of the following is a GIPS requirement with respect to composite construction?

A) A firm must specify in advance a minimum asset level for portfolios to be included in a composite.

B) Portfolios must stay in the same composite that their original size indicated.

C) Portfolios that are removed from a composite must have their prior performance removed from the old composite's historical record and moved to a new composite.

Question #43 of 98

Question ID: 1675040

According to the GIPS Standards, which of the following is not an accepted method for calculating a composite's returns?

A) The aggregate method.

B) Equal weighting of portfolio returns.

C) Asset-weighting portfolio returns by beginning-of-period values.

Question #44 of 98

Question ID: 1675052

Firm Y manages long-only portfolios consisting of publicly traded stocks and bonds using ESG preferences. Which of the following portfolios is *least likely* to be included in its composites?

A) An investor's simulated balanced portfolio that invests only in solar power companies.

B) An investor's U.S. equity portfolio that restricts investment to firms with good corporate governance.

C) An investor's bond portfolio that is constrained to exclude derivatives.

Question #45 of 98

Question ID: 1675063

Which of the following statements concerning composites is *least accurate*?

A) Firm composites must be defined according to similar investment objectives and/or strategies.

B) Composites are the primary vehicle for presenting performance to a prospective client.

C) Portfolios cannot be switched from one composite to another.

Graham and Crickenburg Associates (GCA) is a large money management company. The firm has been in existence for four years, and GCA has two divisions that are separate legal entities with distinct investment strategies. One division in the company handles all the individual client accounts, and one division handles all the corporate accounts. The co-owners and chief executive officers, Charles Graham and Kevin Crickenburg, are considering the advantages of conforming to the Global Investment Standards (GIPS). Graham thinks that it may be more cost effective to only make the individual client division GIPS compliant. Graham thinks this is acceptable to only make one part of the firm GIPS compliant if they sign a letter of intent that they will make the entire company GIPS compliant within a year. Crickenburg says that it is not possible, because the entire GCA company must become GIPS compliant or not at all. They resolve to investigate the issue later, and Graham and Crickenburg move on to examining the requirements for input data and calculations.

Graham and Crickenburg note that they have records concerning the returns of portfolios in both divisions going back since the firm began. The returns were calculated monthly and on the date of all large cash flows. GCA used accrual accounting for fixed-income assets and dividend-paying stocks and used settlement-date prices. They have all the final returns for the portfolios in hard copy form. Most of the raw data pertaining to the returns of the assets in the portfolios and calculation methods have been lost. This was because Graham and Crickenburg threw away the hard copy of the raw data, and a computer virus destroyed many of the raw data files. Graham and Crickenburg discuss the adequacy of the data for GIPS compliance verification. Graham says that only having the final returns data is sufficient because the company had an external CPA go over the books each year. Crickenburg says that having records going back four years is sufficient.

GCA has a wide variety of individual clients. Some of the clients are very conservative, and some are very aggressive. Two separate clients are so conservative that, four years ago, they stipulated that their entire portfolio simply be invested equally across U.S. Treasury STRIPS with two, four, six and eight years to maturity. As each group matures, as the first set did two years ago, it would be rolled over into the eight years to maturity STRIPS again. These clients put their money with GCA so that the company would take care of the rollover, the paperwork, and computing the tax liability. The clients pay a bundled fee for this service.

Question #46 - 49 of 98

Question ID: 1675102

In Graham's and Crickenburg's discussion concerning whether to make only a portion of the company GIPS compliant, they each gave an opinion concerning the possibility of making only one division GIPS compliant and a reason supporting that opinion. With respect to both the opinion and reason:

A) only Graham is correct.

B) both Graham and Crickenburg are correct.

C) both Graham and Crickenburg are incorrect.

Question #47 - 49 of 98

Question ID: 1675103

With respect to the historical input data, which of the following are impediments to Graham and Crickenburg associates becoming GIPS compliant? The returns:

A) of the dividend-paying stocks are calculated using accrual accounting.

B) are calculated using settlement-day prices.

C) are calculated monthly and on the date of all large cash flows.

Question #48 - 49 of 98

Question ID: 1675104

With respect to the historical input data, the existence of only the portfolio returns data, and the fact that data only goes back four years, both Graham and Crickenburg state the data is sufficient for GIPS verification. Graham says only having the final portfolio returns is sufficient, and Crickenburg says only having four years is sufficient. With respect to these statements:

A) both are incorrect.

B) only Graham is incorrect.

C) only Crickenburg is incorrect.

Question #49 - 49 of 98

Question ID: 1675105

As described, Graham and Crickenburg Associates has two clients who have all their money in U.S. Treasury STRIPS. With respect to including these portfolios in a composite, they:

A) cannot be included because they are nondiscretionary.

B) must be included in a composite of fixed-income portfolios.

C) cannot be included because fees are paid.

Question #50 of 98

Question ID: 1675062

Strausburg Investment Management (SIM) manages portfolios of publicly traded securities that are represented in more than 15 composites. Assume that SIM is notified to stop trading a portfolio on August 25, 2021, because the portfolio will be terminated. At the end of which of the following dates should the terminated portfolio be removed from its composite to be compliant with the Global Investment Performance Standards (GIPS)?

A) August 30, 2021.

B) July 31, 2021.

C) December 31, 2020.

Question #51 of 98

Question ID: 1675056

Which of the following is *NOT* a requirement for composites under the Global Investment Performance Standards (GIPS)?

A) Firm composites must be defined according to similar investment objectives and/or strategies.

B) A composite's reported returns cannot exclude its portfolios' allocations to cash.

C) Firms must disclose the use of simulated or model portfolio results in their composites.

Question #52 of 98

Question ID: 1675011

Which of the following *best* describes the underlying principles upon which the Global Investment Performance Standards (GIPS) are based?

A) Fair and consistent application of a global set of regulatory requirements.

B) Full disclosure and fair representation of performance results.

C) Uniformity and consistent application of standards for the global regulation of the securities industry.

Question #53 of 98

Question ID: 1675084

LeReaux Investment Management (LeReaux) has created the following performance presentation. LeReaux has claimed Global Investment Performance Standards (GIPS) compliance since 2000 and believes its presentation complies with the GIPS.

LeReaux Investment Management

Equity Composite

January 1, 2018–December 31, 2021

Year	Total Return (%)	Number of Portfolios	Composite Dispersion (%)	Total Assets at End of Period	Percentage of Firm Assets	Total Firm Assets
2018	7.2	24	3.0	187	46	407
2019	4.3	33	4.4	222	56	396
2020	12.1	51	1.2	289	64	452
2021	14.5	65	2.9	355	62	572

LeReaux has performed all calculations in this presentation in accordance with the Global Investment Performance Standards (GIPS).

Which of the following *best* describes LeReaux's presentation? LeReaux's presentation is not GIPS compliant because it should have presented:

A) 10 years of annual performance.

B) 5 years of quarterly performance.

C) 5 years of annual performance.

Question #54 of 98

Question ID: 1675071

According to the GIPS standards, total firm assets include:

A) nondiscretionary assets.

B) advisory-only assets.

C) uncalled, committed capital.

Question #55 of 98

Question ID: 1675018

The following are objectives of the Global Investment Performance Standards (GIPS) except:

A) to encourage the adoptions of GIPS as foreign and domestic laws.

B) to enhance investor confidence and allow investors to make more meaningful comparisons.

C) to enhance competition in global markets by creating a universal set of standards that places managers from all countries on an equal footing in soliciting clients.

Question #56 of 98

Question ID: 1675037

Stroud Investments is preparing a presentation for potential clients that would pay bundled fees. According to the GIPS Standards, the investment returns contained in the presentation must be reduced by:

A) the portion of the bundled fee due to transactions costs, or the entire bundled fee if the transactions costs cannot be separated out.

B) only the portion of the bundled fee due to management costs.

C) only the portion of the bundled fee due to transactions costs.

Question #57 of 98

Question ID: 1675047

According to the GIPS Standards, broad distribution pooled funds that are not also offered as segregated accounts:

A) must be in one composite only.

B) cannot be in any composites.

C) must be included in at least one composite.

Question #58 of 98

Question ID: 1675024

Consider the total quarterly returns for the growth and income composite of Zest Investment Management (ZIM): Q1 = 3.20%, Q2 = 4.25%, Q3 = 3.95%, Q4 = 3.35%. What is the appropriate total annual return under the calculation methodology under the Global Investment Performance Standards (GIPS)?

A) 15.58%.

B) 14.75%.

C) 14.48%.

Question #59 of 98

Question ID: 1675091

On October 20, 2021, Firm X, which is in compliance with the Global Investment Performance Standards (GIPS), acquired the assets for Firm Z, which is not in compliance with GIPS. Until what date may Firm X continue to claim compliance with the GIPS before the assets of Firm Z must be GIPS compliant?

A) December 31, 2022.

B) October 20, 2022.

C) December 31, 2021.

Question #60 of 98

Question ID: 1675073

If the GIPS standards conflict with local laws and regulations, the firm should comply with:

A) local laws and regulations.

B) the GIPS standards.

C) the GIPS standards if the subject country has poorly developed capital markets.

Bill Klecko, owner of the boutique money manager Klecko Investments (Klecko), wants to claim GIPS compliance. He has hired Janice Walsh, a performance-presentation consultant, to examine Klecko's performance presentation.

Klecko informs Walsh that Klecko's equity composite excludes the results of its hedge fund operations, which are managed by a separate subsidiary using its own equity investment style. Portfolios of the hedge fund operations may use futures or options to hedge risk, but the equity composite portfolios do not.

Walsh then asks for monthly data on one of the portfolios to check the calculation, as shown next.

Date	Market Value	Cash Flow
December 31, 20X1	$182,567	
January 16, 20X1	$193,490	$35,000
January 31, 20X1	$217,008	
February 8, 20X1	$224,856	–$140,000
February 28, 20X1	$85,183	
March 31, 20X1	$102,989	

Question #61 - 62 of 98

Question ID: 1675079

Using the modified Dietz method, the portfolio return for the March 20X1 quarter is *closest* to:

A) 28.48%.

B) 28.99%.

C) 27.27%.

Question #62 - 62 of 98

Question ID: 1675080

To meet the definition of a firm, Klecko Investments must:

A) differentiate the portfolio management styles of the equity and hedge fund managers.

B) include the hedge fund division in the composites.

C) do nothing, as Klecko already satisfies the GIPS requirements to be a firm.

Question #63 of 98

Question ID: 1675030

Which of the following is a correct representation of requirements needed to meet the Global Investment Performance Standards (GIPS)?

A) Total return, including capital gains plus income, must be used.

B) Firms must use trade date accounting.

C) All of these choices are correct.

Question #64 of 98

Question ID: 1675092

Three portfolio managers left their previous employer two years ago to form Atomic Investment Management (Atomic). The reason for their departure was a desire to be solely responsible for investment decisions as opposed to the consensus approach that was used at their old firm. Atomic wants to claim compliance with the Global Investment Performance Standards (GIPS), but it does not have a five-year minimum compliance history. Under the GIPS standards, which of the following actions may Atomic take to claim compliance? Atomic may:

A) link three years of the managers' performance history from the previous employer to the two-year history since Atomic's inception with a clear and unambiguous disclosure.

B) present a two-year GIPS-compliant performance history.

C) not present its performance in compliance with the GIPS until it has established a five-year performance history.

Question #65 of 98

Question ID: 1675035

An investor's portfolio contains a partnership interest in a local office building as well as the publicly traded common stock of a construction company. Which of the following *best* describes the GIPS requirements for the calculation of returns for the two investments?

A) The returns for both the office building and construction company investments must be calculated quarterly.

B) The returns for the office building investment must be calculated quarterly, and the returns for the construction company investment must be calculated monthly.

C) The returns for both the office building and construction company investments must be calculated monthly.

Question #66 of 98

Question ID: 1675065

Which of the following is not a composite construction requirement of the Global Investment Performance Standards (GIPS)?

A) If a client chooses to leave a firm for performance reasons, the client's portfolios must be removed from the historical performance record of the appropriate composites for all years in which they were with the firm.

B) All actual fee-paying discretionary portfolios must be included in at least one composite.

C) Composites must include new portfolios on a timely and consistent basis after each portfolio comes under management.

Question #67 of 98

Question ID: 1675083

All of the following are requirements of the Global Investment Performance Standards (GIPS) except:

A) returns from cash and cash equivalents held in portfolios must be included in total return calculations.

B) returns must be calculated monthly for nonprivate market investment portfolios.

C) a firm is required to present, at a minimum, 10 years of annual investment performance upon GIPS adoption.

Question #68 of 98

Question ID: 1675081

According to the GIPS standards, which of the following is *least likely* an accepted measure of how consistent performance is within a composite?

A) The equal-weighted standard deviation.

B) The ex post standard deviation for the composite.

C) The range of portfolio returns.

Question #69 of 98

Question ID: 1675051

Which of the following statements is the *best* description of whether a portfolio should be included in a composite?

A) All actual, discretionary, fee-paying, and non-fee-paying portfolios must be included in a composite.

B) All discretionary, fee-paying, model portfolios must be included in a composite.

C) All actual, discretionary, fee-paying portfolios must be included in a composite.

Question #70 of 98

Question ID: 1675072

Which of the following *best* describes how total firm assets are calculated in accordance with the GIPS standards? Total firm assets:

A) include assets for which the firm offers investment advice but does not have trading authority for.

B) are calculated based on the value at which assets were purchased.

C) exclude capital that investors have pledged, but which the firm has not yet drawn.

Question #71 of 98

Question ID: 1675060

Which of the following descriptions are appropriate qualifiers for a composite?

	Small Cap	High Duration	Above €10 million
A)	Appropriate	Appropriate	Appropriate
B)	Appropriate	Not appropriate	Appropriate
C)	Appropriate	Appropriate	Not appropriate

Question #72 of 98

Question ID: 1675010

Which of the following *best* describes the Global Investment Performance Standards (GIPS)? The objectives of GIPS are to:

A) create a globally accepted standard for the presentation of investment performance. However, due to country-specific preferences, they do not create a globally accepted standard for the determination of investment performance.

B) create a globally accepted standard for the determination of investment performance. However, due to country-specific preferences, they do not create a globally accepted standard for the presentation of investment performance.

C) create a globally accepted standard for the determination and presentation of investment performance.

Question #73 of 98

Question ID: 1675087

An investment firm was founded 10 years ago and first started reporting its performance history in compliance with the Global Investment Performance Standards (GIPS) six and a half years ago. What is the minimum number of years of past performance the firm must report to claim GIPS compliance?

A) 6 years.

B) 5 years.

C) 10 years.

Question #74 of 98

Question ID: 1675055

A firm creates a new strategy based on academic research using its own funds. Which of the following *best* describes the GIPS Standards? For the portfolio based on the strategy, the manager:

A) must exclude the portfolio from all composites.

B) must exclude the portfolio from existing composites.

C) may include the portfolio in an existing or a new composite.

Question #75 of 98

Question ID: 1675050

A portfolio changes from being discretionary to being nondiscretionary. What action should the manager take with respect to composite construction and calculation to be GIPS compliant?

A) The manager must remove the portfolio from the composite, including the historic performance.

B) The manager may leave the portfolio in the calculation of historic performance and may remove the portfolio from future calculations.

C) The manager must leave the portfolio in the calculation of historic performance, but must remove the portfolio from future calculations.

Question #76 of 98

Question ID: 1675076

PTN, Inc., is an investment management firm. It has used Global Investment Performance Standards (GIPS) since its inception two years ago. PTN claims to be in compliance with GIPS. Could this claim be correct?

A) Yes—PTN does not have a five-year record of performance history, so since inception is sufficient.

B) Yes—GIPS compliance requires only the current year's performance.

C) No—PTN does not have a five-year compliance track record.

Question #77 of 98

Question ID: 1675107

A firm is undergoing verification to bolster its claim of GIPS compliance. The third party doing the verification requests the firm's marketing material and its input data as verified by custodial statements. Which of these requests are appropriate components of the verification process?

A) The firm's input data as verified by custodial statements, but not its marketing material.

B) Both the firm's marketing material and its input data as verified by custodial statements.

C) The firm's marketing material, but not its input data as verified by custodial statements.

Question #78 of 98

Question ID: 1675074

According to the GIPS standards, a firm's benchmarks must be:

A) total return benchmarks and reflect the corresponding investment strategy.

B) broad market benchmarks that are generally accepted by investment practitioners.

C) price-only benchmarks when used for a firm's growth strategies.

Question #79 of 98

Question ID: 1675020

Firm X manages balanced portfolios for a broad range of clients. Which of the following statements by Firm X is consistent with the Global Investment Performance Standards (GIPS)?

A) Firm X claims compliance with the GIPS on a firmwide basis.

B) Firm X claims compliance with the GIPS for all its equity portfolios.

Question #80 of 98

Question ID: 1675021

According to the GIPS standards, when calculating returns, the delineation of a large external cash flow is determined by:

A) each firm for each composite.

B) the CFA Institute.

C) the GIPS specified minimum cash flow guideline.

Question #81 of 98

Question ID: 1675008

Which of the following *best* describes the GIPS standards?

A) GIPS compliance can be claimed for some of an investment firm's products.

B) GIPS compliance can be claimed for some of an investment firm's portfolios.

C) GIPS compliance can be claimed only on a firm-wide basis.

Question #82 of 98

Question ID: 1675099

According to the GIPS for valuation, subjective valuations:

A) are not acceptable.

B) must use observable values for similar assets.

C) should only be used as a last resort.

Question #83 of 98

Question ID: 1675013

Which of the following statements regarding the Global Investment Performance Standards (GIPS) is *least accurate*? GIPS attempts to:

A) provide different standards for investment management firms versus asset owners.

B) better equip prospective and existing clients to fairly project future investment performance.

C) increase the confidence that prospective and existing clients have in the industry.

Question #84 of 98

Question ID: 1675088

Which of the following statements *best* describes the provisions of GIPS with respect to measures of internal dispersion?

A) Only the range can be used to measure internal dispersion.

B) A firm can choose the measure of dispersion as long as it fairly represents the composite's internal dispersion.

C) The standard deviation must be shown.

Question #85 of 98

Question ID: 1675038

For private equity, valuations must be prepared at least:

A) quarterly.

B) monthly.

C) annually.

Judy Picoo, CFA, a portfolio manager for the JP Fund, needed to compute her portfolio performance results for the 2021 first calendar quarter in compliance to GIPS. The following monthly results and information were available:

January 2021: +2.3%

February 2021: –1.0%

March 2021: market value of her portfolio was $50 million on February 28, 2021, and $51.5 million on March 31, 2021; portfolio did experience a redemption of $500,000 on March 15, 2021

Question #86 - 87 of 98

Question ID: 1675027

Calculate the return for March 2021 using the modified Dietz method.

A) 2.01%.

B) 3.02%.

C) 4.02%.

Question #87 - 87 of 98

Question ID: 1675028

Calculate the quarterly return for the first quarter of 2021.

A) 4.47%.

B) 1.10%.

C) 5.35%.

Question #88 of 98

Question ID: 1675058

A firm creates its composites by first surveying its competitors' offerings. The resulting composites have an unusually high internal dispersion. It is *most likely* that the firm:

A) did not violate the GIPS Standards by surveying competitor offerings and defined the composite too broadly.

B) violated the GIPS Standards by surveying competitor offerings and defined the composite too narrowly.

C) violated the GIPS Standards by surveying competitor offerings and defined the composite too broadly.

Question #89 of 98

Question ID: 1675012

As countries adopt the Global Investment Performance Standards (GIPS), which of the following is *least likely* to occur?

A) Existing and potential clients will be more likely to be able to make fair and unambiguous comparisons among investment firms.

B) The trend toward cross-border investments will decline.

C) Competition in the global investment industry will be enhanced.

An EU manager's equity composite contains two portfolios. The following values for August show the external cash flows and the beginning and ending portfolio values. The values are in € millions.

Portfolio	July 31	August 7	August 15	August 24	August 31
A	€300		–€28		€290
B	€400	€22		€14	€430
Total	€700	€22	–€28	€14	€720

Question #90 - 93 of 98

Question ID: 1675042

The modified Dietz return for Portfolio A is *closest* to:

A) –12.08%.

B) 6.30%.

C) –3.33%.

Question #91 - 93 of 98

Question ID: 1675043

The composite return calculated using beginning-of-period portfolio values is *closest* to:

A) 2.44%.

B) 1.88%.

C) 1.69%.

Question #92 - 93 of 98

Question ID: 1675044

The composite return calculated using beginning-of-period portfolio values with external cash flows is *closest* to:

A) 1.70%.

B) 1.88%.

C) 3.40%.

Question #93 - 93 of 98

Question ID: 1675045

The composite return calculated using the aggregate return method is *closest* to:

A) –3.97%.

B) 3.97%.

C) 1.70%.

Question #94 of 98

Question ID: 1675034

With respect to fees and to reporting returns under GIPS, firms:

A) can report returns either net of fees or gross of fees.

B) must report returns net of fees and never gross of fees.

C) must report returns gross of fees and never net of fees.

Question #95 of 98

Question ID: 1675070

A firm has two separate divisions, but each division uses the same trading desk to execute orders and assist in security valuation. According to the GIPS standards, the two divisions would *most likely* be characterized as:

A) distinct business entities.

B) parts of the same firm.

C) distinct firms.

Question #96 of 98

Question ID: 1675075

Which of the following *best* describes the GIPS standards? According to the GIPS standards, a firm must disclose all material errors to:

A) both current clients and verifiers.

B) verifiers only.

C) current clients only.

Question #97 of 98

Question ID: 1675007

Which of the following *best* describes the GIPS standards?

A) They must remain static to ensure consistent standards over time.

B) They must remain static as codified by the CFA Institute's governing body.

C) They will evolve over time as strategies and technologies change.

Question #98 of 98

Question ID: 1675109

An investment firm has a hedge fund composite with an investment strategy that is poorly understood by the investing public. To confirm that the composite's performance calculation and presentation is consistent with the GIPS standards, which of the following can the investment firm pursue? The firm can ask a verification firm to provide firmwide verification:

A) and a detailed performance examination of the hedge fund composite.

B) only.

C) and verification of the hedge fund composite.